

When the Cost Outweighs the Benefit

A 7-Month Documented Record of Medicaid Fraud, Criminal Endangerment, and the Strategic Case for Action Against Advocate Group Care

I. Power Only Moves When the Math Changes

History does not move on moral pressure alone. It moves when the cost of inaction exceeds the cost of acting. This is not cynicism — it is the documented mechanism of every major institutional reform.

Lincoln and Emancipation. The Emancipation Proclamation was issued in September 1862, two years into the Civil War — not at the start. The North's industrial economy had already rendered slave agriculture economically obsolete. The real question of the war was which economic model would govern western expansion. Lincoln, initially an economic pragmatist rather than an abolitionist, moved on slavery when Britain was on the verge of recognizing the Confederacy as a sovereign nation and financing it. Emancipation reframed the war as a moral conflict over slavery itself, making British support politically untenable at home. The slaves were freed as a geopolitical cost weapon. The ethics followed in the press release.

Gandhi and Salt. The British Empire did not vacate India because its conscience stirred. It left because two World Wars had bankrupted it, and the cost of maintaining imperial control — financially, militarily, and in global reputation — had become untenable. Gandhi's genius was not passive suffering. It was the construction of a cost: he made British rule expensive to defend internationally, impossible to justify domestically in Britain, and economically draining. The moral clarity was real. But it was the math that closed the deal.

MLK and the Civil Rights Act. The Civil Rights Movement moved federal law not because America suddenly developed a conscience in 1964, but because the international optics of dogs and fire hoses broadcast globally during the Cold War were becoming a Soviet propaganda gift. The United States was attempting to position itself as the leader of the free world while its own citizens were being beaten in the streets on television. The cost — diplomatic, reputational, strategic — became greater than the cost of legislation. Johnson signed. The moral case had been airtight for a century. It was the strategic cost that finally forced the pen.

The pattern is consistent across centuries: those with power concede when the financial, legal, reputational, or political cost of inaction demonstrably outweighs the benefit of maintaining the status quo. The moral case is necessary but rarely sufficient. The cost must be built.

II. The Case: Advocate Group Care, Plainfield NJ

What follows is not a complaint. It is a fully documented, 7-month evidentiary record of a Medicaid fraud operation that has run for 15 years in plain sight — and the strategic argument for why acting on it now is in your interest.

THE OPERATOR

Mario Manzano, Advocate Group Care LLC — 520 Central Ave, Plainfield NJ (formerly St. Rita's). Four residential care houses in total. Approximately 80–160 Medicaid-funded residents across two buildings. Operating since 2010. NJ DOH License: None. NJ DCA Registration: None. Financed by a \$1.1M federal SBA loan (2010) and a \$1M refinance (2019) while operating without a single license.

THE FRAUD INFRASTRUCTURE

This is not a case of sloppy paperwork. This is a 15-year billing operation charging Medicaid for licensed services that were never legally authorized to be provided:

- "Licensed supervision of medication" — billed. An unlicensed landlord held the only key to every resident's controlled and psychiatric medications. Documented on video.
- "Registered Nurse on Staff" — advertised. The nurse on record walked away from a documented assault without intervening. Documented on video.
- "Supervised medication administration" — billed. Residents self-administered their own medications with no licensed staff present. Residents ran out of psychiatric medications. Documented on video and in physical evidence.
- "24-hour supervision" — billed. The operator was absent for approximately 2 months of a 7-month period, including an extended trip to the Philippines. A felon on parole was placed in charge. An EMT on scene was captured on video saying: "OK Charlie, you're in charge."
- "Three meals a day" / "Safe nurturing environment" — billed. Documented meals: Froot Loops, bologna sandwiches, spaghetti and hot dogs. A named schizophrenic diabetic resident was found unsupervised, naked, eating sugary cereal. Permanent bed bug scarring on a resident's body. Seven months of cockroach and mouse infestation. Plumbing never repaired. First-floor sink covered with a garbage bag and caution tape — for months.
- "Secure entrance" — billed. A felon's threatening note was posted at the exit sign during the operator's vacation. A different felon, arrested during the stay, was returned the next day and restored to authority. A body was wheeled out from a window — documented on video.

THE WRITTEN NOTICE RECORD

On April 12, 2026, the operator Mario Manzano received written WhatsApp notice — confirmed read — of felons in authority, Ativan being distributed by unlicensed tenants, assault, bed bugs, and a door that could not lock. His only substantive response: "I will call Paul the carpenter." The conditions continued unchanged. A second RCS text backup was sent the same day to eliminate the "didn't receive it" defense. An exit agreement proposed in May 2026 was never signed — a documented consciousness of liability.

THE POLICE RECORD

Officers responding to the facility were captured on video: calling the operator by his first name (establishing prior familiarity); refusing to provide body camera numbers; viewing assault footage and taking no action; and telling a resident on camera: "Take it up with the Governor."

III. The Evidentiary Package

This is not allegation. This is a 23GB documented record across 51 catalogued items organized into six legal tracks:

- Section A — Operator Notice: WhatsApp & RCS records establishing written knowledge of every condition
- Section B — Criminal Conduct: 15 video and audio items including assaults, overdoses, controlled substance distribution, body removal, cover-up
- Section C — Qui Tam / Medicaid Fraud: Nurse on camera admitting medication mismanagement; operator on camera unlocking medication drawer; operator on camera confirming felons and crack addicts on premises
- Section D — Conditions / Personal Injury: Bed bug infestation and permanent scarring; cockroach and mouse infestation; unsanitary bathrooms; heat shutoff; tenant fall requiring stitches from loose stairs
- Section E — Police Conduct: Five video items documenting dismissal, familiarity, obstruction, victim blaming
- Section F — Fraud Infrastructure: NJ DOH confirms no license; NJ DCA confirms no rooming house registration; YellowPages listing with 8 specific false claims; \$1.1M SBA mortgage (2010) and \$1M refinance (2019) on unlicensed facilities; personal guaranty by Mario and Merlita Manzano — their personal home and assets pledged

Full evidence package: <https://evidence1.netlify.app> — 23GB video, audio, photo documentation. Password-protected zip files available to verified legal counsel on request.

IV. Who Is Bringing This

Derek Van Derven is a multidisciplinary creator, researcher, and documentarian with a BFA from Rutgers University and a BS in Accounting from Kean University. His work spans original AGI research (published on Zenodo), Unity 3D world-building, visual arts, and music composition.

He is not a career activist. He is not a professional litigant. He is someone with the accounting discipline to build a financial fraud case, the visual literacy to document it properly, the technical sophistication to organize 23 gigabytes of evidence into a coherent legal package, and the strategic clarity to understand what it actually takes to make an institution move.

He spent seven months in conditions that left permanent scarring on his body — bed bug welts that became scabs, then scars. He was kicked out of a day program for mentioning bed bugs, and had to suppress the information to stay in the next one. He watched a body wheeled from a window. He watched felons distribute controlled substances. He watched a nurse walk away from an assault. He documented all of it. **He did not do this to complain. He did this to build a case.**

Full profile: <https://derekvandervan.com/about>

V. The Strategic Case for Action

Here is the honest framing:

For a federal prosecutor or state AG: This is a False Claims Act case with a relator (qui tam) who has 23GB of evidence, organized into six legal tracks, with operator admissions on video and a 15-year paper trail of billing for unlicensed services. The federal SBA loan connects this to federal fraud statutes. The personal guaranty means the Manzanos are personally exposed. This case is not difficult to prosecute — the evidence is already built.

For a journalist or investigative reporter: This is a fully documented story about a 15-year Medicaid fraud operation that housed approximately 80 vulnerable people at a time under conditions that caused permanent physical injury, ignored multiple overdoses, and operated in plain sight while police called the operator by his first name. The evidence package includes video, audio, photos, and public records. It is not an allegation — it is a documented record waiting for a byline.

For an elected official or policy advocate: This is a case study in what happens when group home oversight fails completely. No NJ DOH license. No NJ DCA registration. Medicaid billing continuing for 15 years. A federal SBA loan financing the operation. This is a systemic failure — one operator with four houses is not the story. The story is what the absence of inspection, licensing enforcement, and billing audit looks like after 15 years. The documentation is ready for a hearing.

For a plaintiff's attorney: Personal injury with 7 months of photographic documentation of conditions, permanent scarring, written operator notice that went unanswered, and a pattern of retaliation against residents who complained. The qui tam track runs parallel and does not require the PI case to settle first.

VI. The Ask

This document is not asking for sympathy. It is offering something more useful: a complete, organized, documented case that is ready to move — and the argument that moving it now costs you very little while carrying significant upside, depending on your position.

The cost structure is already built. The evidence package is assembled. The fraud infrastructure is documented from public records any attorney can verify in minutes. The operator admissions are on video. The written notice is time-stamped.

The remaining variable is whether someone with the standing to act decides the benefit of acting outweighs the cost of continued inaction.

That is the calculation this document is designed to help you make.

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Evidence package: 23GB — password to verified legal counsel on request